

Unit 5**Economic Systems****Structure:**

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5.1 Introduction

Any economy is the sum total of all economic units. As individuals, we need to earn a living, and use the income earned, to buy goods that will help us lead a comfortable life and also plan for the future. Similarly, companies decide what products to produce, in what quantity and how to sell the product to make profits. When an economy answers these questions, it has to answer three basic questions:

- What is to be produced?
- How will it be produced?
- Who will get what is produced?

These questions decide the allocation of scarce resources and the framework within which the goods will be produced and also the distribution of the goods to the final consumer. The resources economy is either owned privately or is in public ownership. This distinguishes the economic system that operates and the role of the Government. In this unit, we will learn about the basic economic systems.

Objectives:

After studying this chapter you should be able to

- describe the three basic economic systems: capitalist, socialist and mixed economy.
- explain underlying principles for each economic system.
- analyse advantages and disadvantages of each economic system.
- explain the dynamics of market forces in each system.
- understand the changes in India's economic system over the years.

5.2 Capitalist Economy

We shall now discuss the Capitalist economic system. In this economic system the means of production and distribution are privately owned and production is guided largely through the operation of markets. The ideology of capitalism was expressed in Adam Smith's "Wealth of Nations" (1776) and Smith's free-market theories were widely accepted in the 19th century. It is prevalent in a large number of countries, viz, the USA, UK, France, Japan, Australia and most of the countries in Western Europe. The following are the features of capitalism.

a) Free Private Enterprise

A capitalist economy is a free enterprise economy. Such an economy is characterized by economic liberty. The chief constituent of economic liberty is the right of individuals to own property. The word 'property', in this context, does not refer to things of personal use. Property here refers to only material means of production, like land, machinery and factories. In a capitalist economy, all material means of production are owned privately.

b) Freedom of consumption and freedom of production

'Free enterprise' definitely follows that everyone is free to pursue any economic activity. Freedom to own property is accompanied by freedom to use it. Producers and firms have the right to own and use wealth to earn income and to sell and purchase labour for wages with little or no government control. They are free to choose the industry where they would employ the resources available to them. This feature distinguishes capitalist economies from the fascist economies. In the latter, individuals have the right to own the property, but its use is generally decided by the State. In the former, the right to own and the right to use property go together.

Workers are also free to choose their occupation. Every worker enters that occupation in which he expects the highest reward in the form of money, wages and other benefits. In a capitalist economy, employers are free to choose their workers and the workers are free to choose their employers. Freedom of occupational choice, however, does not mean guarantee of job for, the choice is practically limited by the extent of availability of the jobs.

Freedom of production and occupation necessarily implies freedom of consumption. Individuals have freedom to dispose their incomes. Every earner is at liberty to save or not to save, to save more or to save less. He has the liberty to keep his saving in the form of cash, bank deposits, loans advanced or direct investment. Similarly, he is free to decide how he will dispose of the rest of his income. This is called 'Consumers' Sovereignty'. The production decisions in the free market economy are based on the consumer desires which are reflected in the demand pattern. Frederic Benham remarks, "Under capitalism, the consumer is the king".

Free private enterprise and freedom of consumption and production implies that capitalism propagates legal inheritance of properties from parents to children.

c) Market Mechanism

The market mechanism is the key factor that regulates the capitalist economy. Capitalism believes that markets are efficient and should thus function without interference. Buyers and sellers express their opinions about how much they are willing to pay or how much they will demand of goods and services. Prices are determined by the unhindered operation of the forces of demand and supply. This is called price mechanism.

We may illustrate this by considering demand for and supply of labour in a particular industry. Suppose the demand for labour in one industry increases, producers will try to attract workers from other industries. Competition among producers will be keener than competition among workers who wish to enter that industry. Consequently, the wage rate will rise. At this new wage rate, demand will adjust itself to supply. Through successive adjustments, the supply of labour will be equal to its demand at the final wage rate. What is true of labour market is also true for funds, materials, machines etc. Thus it is the price mechanism which determines how the available productive resources are to be used for the production of

different types of goods and services. Thus, price mechanism organizes production. In the same way, price mechanism plays a major role in the distribution of goods among different individuals.

Price mechanism is a basic coordinating mechanism in a capitalist economy. That is why Adam Smith regarded price mechanism as an 'invisible hand'.

d) Profit Motive

Profit motive is at the heart of a capitalist economy. Maximization of profit is the sole motive of producers. Allocation of resources is determined by the profit motive. Producers would produce more of those goods where they are able to earn maximum profits. Consumers dispose of their income in such a manner that they derive maximum utility from it. Every employer bargains for as low a wage rate as possible, and every employee tries to get as high a wage as possible. Similarly, every lender charges a high interest rate; every landlord tries to get a high rent and every tenant wants to pay a low rent. Every individual, whatever may be his capacity, seeks his own benefit and tries to maximize it.

Profit motive serves as an incentive to people to put in their best. Producers adopt all means to earn highest profit. Highest wage induces the workers to improve efficiency. Thus profit motive ensures incentive and efficiency.

e) Minimum Government Interference

There is least interference by the government in the economic activities and in the working of market forces. Indeed, government intervention is necessary to ensure some of the smooth functioning of the capitalist system. For example, government interference is necessary to define and protect property rights, ensure freedom of entry and exit, enforce contractual agreements among private entrepreneurs, ensure the satisfaction of certain community wants, etc. However, government interference in the system is comparatively very limited.

f) Competition

Competition is one of the vital pillars of the capitalist economy. Competition tends to promote economic efficiency. It ensures that goods and services are produced at the lowest possible cost of production. Under competitive conditions, only efficient firms will survive and inefficient firms will be

eliminated. Similarly competition in the labour market ensures that labourers give their best performance. Otherwise, they would be competed out of the market.

5.2.1 Merits of a capitalist economy

a) Incentive to work

Producers are motivated to bring improvements in production activities in order to earn more profits. They are motivated to develop new techniques of production so as to survive in the face of competition.

b) Efficient use of resources

In a capitalist economy, producers are under constant pressure to maximise efficiency of resources and to keep the cost at minimum in order to earn high profits. Similarly, the workers work most efficiently in order to earn high incomes.

c) Flexibility and Adaptability

It adapts itself to changed conditions and adaptability. It shows its flexibility by adapting itself to large scale production, new techniques of production and increased regulations by the government.

d) Automatic working

The impersonal forces of price mechanism enable the capitalist economy to take all important decisions. Automatic functioning of price mechanism in a capitalist economy helps the producers in solving the basic problems of 'what to produce', 'how to produce', and 'for whom to produce'.

e) Economic freedom:

There is freedom to consumers and producers, and freedom to save and invest. Thus, economic freedom is the virtue of capitalism.

f) Increase in production and standard of living

The greatest achievement of the capitalist system is that it has led to large increase in production and national income. Countries like the USA, UK, Japan, etc., have experienced a high rate of economic growth by adopting the capitalist system. This has enabled these countries to raise their standard of living.

5.2.2 Demerits of a Capitalist Economy**a) Inequality of income**

Capitalism has led to large disparities in the distribution of income and wealth. The inequality is inherent because of the institution of private property, the right of inheritance and concentration of productive forces in the hands of a small minority. Consequently, the rich has become richer and the poor has become poorer.

b) Class conflict

A capitalist economy has led to class struggle between the capitalists and the workers, the 'haves' and 'have-nots', the rich and the poor. This is the direct consequence of the capitalists exploiting the labour class for more profit. There is constant hostility, struggle, and animosity between these two groups in the form of strikes, lock-outs, etc. This affects the functioning of the economy adversely.

c) Economic instability

Since there is no co-coordinating agency, there is always a possibility of over-production or under-production, booms and depressions, inflation and unemployment. This causes a lot of sufferings.

d) Economic waste

When better techniques are innovated, old techniques are discarded. This results in economic waste. Consumers discard many old models of cars, electronics items, machineries etc. Sometimes producers go for excessive advertisements in order to push up their sales. The extra cost ultimately falls on the consumers.

Self Assessment Questions

1. In a capitalistic system, the consumer is regarded as _____.
2. The process through which the prices of goods and services are determined by the market forces of demand and supply in a capitalist economy is called _____.
3. The _____ motive which is the integral part of the capitalist economy motivates the producers to undertake production.
4. In a capitalist economy, there is _____ interference by the government in the economic activities.

5.3 Socialist Economy

H. Morrison defined socialism as, “The important essentials of socialism are that all great industries of the land should be publicly or collectively owned, and they should be conducted (in conformity with a national economic plan) for the common good instead of private profit. Soviet Russia was the first country to establish a socialist (communist) economy. Most of the East European countries adopted the communist system after the Second World War. Until its collapse in the recent years, socialist economic system of one variety or another existed in over 50 countries covering about 40 percent of the world population. However, the socialist economic system continues to exist today in some countries like China, Cuba, and Vietnam. The salient features of a socialistic economy are as follows.

a) Social ownership of productive resources

Under socialism, property, i.e., the means of production are owned, controlled, allocated, directed and managed by the State. The State is authorised to control production and distribution. Under communism, i.e., the highest stage of socialism, the consumption is also controlled. The state controls all kinds of agricultural, industrial, commercial and financial business activities. The government takes all sorts of economic decisions- investment, production, resource allocation, price, output etc.

b) Centralised planning

Planning has replaced the price mechanism in a socialist economy. The Planning Commission is normally entrusted with the authority to study the resource situation and the social requirements, and in the light of that, to work out a plan for optimum allocation of resources. All important decisions regarding what to produce, how to produce, for whom to produce, allocation of resources, saving and investment are taken by it. Socialist economies are sometimes called command economies because the central planning authority commands the pattern of resource utilisation and development. Centrally planned economies include the USSR, China, German Democratic Republic (East Germany), Poland, Romania, etc.

c) Social welfare

Social welfare is the chief motivating force behind all economic activities. The motive of social welfare replaces the profit motive of capitalism. In a socialist economy, the individual interest is subordinated to the higher

interest of the entire community. In fact, planning is a programme of maximizing social welfare, subject to the resource constraint.

d) Elimination of competition

Since the government has monopoly of production of all types of goods in a socialist economy, there is no scope of competition and rivalry among different production units. In a socialist economic system, competition is eliminated and a spirit of cooperation and mutual goodwill prevails.

e) Consumer is not sovereign

The state decides what may be made available to consumers unlike in a market economy where the consumers have the freedom to choose from a wide variety. The consumers, have to be content with what the state thinks is sufficient for them. The freedom of occupation is also restricted in socialist countries. An individual may not have the freedom to choose any occupation he wants.

5.3.1 Merits of a socialist economy

a) Equitable distribution of income

It aims at the establishment of an egalitarian society. It provides equal opportunities to all, irrespective of caste, colour, and creed. Moreover, there is no possibility of private property or unearned income. People work according to their abilities and are paid according to their needs. Wage differential to a limited extent is recognized, depending on the nature and requirements of the job.

b) Elimination of economic instability

Prices of goods and services are regulated by the State. All economic decisions are taken by the central planning authority. They undertake a comprehensive study of the existing resources of the economy. As such, possibility of overproduction and underproduction is eliminated. Problem of inflation and deflation hardly arises.

c) Elimination of class struggle

In a socialist society, State is the employer. The basic guiding principle of the State is social welfare. The State does not exploit its workers. It gives many benefits to the workers with social welfare in mind. Since there is no existence of two classes, there is no possibility of employer-employee conflict in a socialist economy.

d) Better allocation of resources

In a socialist economy, production is done with the objective of maximisation of social welfare. Allocation of resources is made by the planning authority to promote social welfare. Luxuries are not provided at the cost of basic necessities of life. They are able to eliminate various types of wastages of resources. The planning authority ensures that no resource goes unutilised.

5.3.2 Demerits of a socialist economy**a) Loss of incentive**

Since profit does not go to the people, they do lose incentive to work. Abolition of private property, free enterprise and competition reduces the incentives still more. Thus people are not motivated to work hard and improve their efficiency. Industries and other economic activities are managed by bureaucrats. These bureaucrats are not as efficient as private entrepreneurs. Bureaucracy may lead to red tape, delays in decision making, nepotism and corruption.

b) Loss of freedom:

In such an economy neither do the consumers have freedom of choice nor do the producers have freedom to choose their choice of products. The consumer is no longer the king. The producer is no longer guided by the preferences of the consumers. Consumers get only those goods which the planning authority decides to produce. In the absence of economic freedom, people are not able to enjoy civil and political freedom. Thus a socialist economy often leads to regimented economy.

c) Concentration of economic and political power

The government has absolute authority in the country. Since it controls all economic activities, it becomes very powerful. The government does not have a foolproof mechanism to know the wishes of the people. Therefore, there is every possibility of a handful of politicians and bureaucrats becoming dictators. Socialist economies have often become authoritarian economies.

d) Difficulties involved in rational allocation of resources

There is no proper basis of cost calculation. As there are no free and competitive markets for factors of production, their prices cannot be determined. In such a case, cost of production of commodities cannot be

determined. Therefore, it is difficult to have rational allocation of resources in a socialist economy.

In the light of the above discussion, Table 1.1 points out the following important differences between the capitalist and the socialist economy.

Table 1.1: Differences between Capitalist and Socialist Economies

<i>Capitalist Economy</i>	<i>Socialist Economy</i>
1. Resources are owned by private individuals. 2. Competition is an essential part. 3. Maximisation of profit is the principal objective. 4. Price is determined by the price mechanism. 5. Freedom of consumption and freedom of production. 6. Minimum intervention by the government. 7. Concentration of economic power in the hands of the capitalist class. 8. Inequality in the distribution of income leads to class conflict.	1. All economic resources are owned by the State. 2. Co-operation is an essential part. 3. Social welfare is the chief motive. 4. Price is determined by the central planning authority. 5. Loss of economic freedom. 6. State regulated economy. 7. Concentration of economic and political power in the hands of the government. 8. The idea of equality aims at establishing a classless society.

Self Assessment Questions

5. Extreme form of socialism is called _____.
6. Allocation of productive resources are done under socialism by the _____.
7. Income _____ which mostly arises from private property does not exist under socialism.
8. Economic _____ has replaced the price mechanism under a socialist economy.

5.4 Mixed Economy

A mixed economy is an economy which combines the elements of both the capitalist and the socialist economies. It attempts to combine the best features of both capitalism and socialism while excluding the demerits of both.

Depending upon the nature of government intervention, we can differentiate between two types of mixed economies. In one form of mixed economy, the government tries to control and regulate the private sector through its policies of taxation, public expenditure, bank rate, labour laws, etc. However, the government does not directly undertake production activity. This type of mixed economy exists in most of the developed countries such as the USA, UK, etc. The second type of mixed economy is the one where the government not only regulates the private sector, but also participates in the production activities. This type of mixed economy prevails in most of the developing countries like India. The following are the features of mixed economy.

a) Coexistence of public and private sectors

Public sector is that part of the economy which is operated and managed by the government. It includes industries in the infrastructure and strategic sectors like mining, oils, railways, transport and communication, power projects, heavy industries, defence, energy, etc. These are the sectors where profitability is low and interests of the entire society are concerned.

Private sector operates with profit motive. It dominates in agriculture, consumer goods industries, retail trade, etc. The private sector supplements the public sector rather than competing with it.

b) Features of both capitalism and socialism

A mixed economy is characterised by the presence of private property, profit motive, competition, price mechanism, which are features of the capitalist economic system. On the other hand, there is the presence of economic planning, state regulations of economic activities, and emphasis of economic equality which are the features of the socialist economic system.

c) Government regulates and Controls the private sector

Though the private sector is permitted in a mixed economy, it is regulated and controlled by the State. The government regulates the private sector through taxation, subsidies, monetary policy, licensing policy, anti-monopoly controls, etc. All these regulations aim at promotion of welfare for the entire economy. The government pursues various social security schemes to help the poor and backward class. It provides various facilities like education, health, sanitation, law, etc., for free of cost. It tries to minimize economic and regional inequalities.

d) Price mechanism

Price Mechanism is allowed to function, subject to certain regulations through price control, fixation of minimum wages and other such measures. For example, prices of essential commodities, such as railways fares, electricity prices, petrol prices, gas prices, etc. are fixed by the government.

e) Profit motive

The public sector is guided largely by social welfare motive. However, profit motive continues to be the guiding factor in the private sector. The government makes sure that the private sector cannot maximize profits at the cost of social interest.

5.4.1 Merits of a mixed economy**a) Economic and political freedom**

It provides enough scope for private enterprise. Freedom of choice of occupation exists. People are free to save and invest. Consumers are free to choose the goods and services they want to consume. A mixed economy provides adequate civil, political, and economic freedom to the people, subject to certain restrictions imposed by the government in the interest of the society.

b) Check on concentration of economic power

The government controls the monopolistic control of industries, consumer' exploitation, and protects the interests of the labourers through labour laws. At the same time, inequality of income is kept under check by the government through the use of progressive taxation. The government also provides equal economic opportunities to the people.

c) Proper allocation of resources

Resources are appropriately divided among the public and the private sectors for social interests. Economic planning ensures that the economic resources are utilized in the best possible way. Thus the combined use of resources and energies of both the public and the private sectors promote economic development.

d) Economic stability

A mixed economy eliminates overproduction and underproduction. It ensures economic stability. Through proper planning and State regulation it tries to avoid inflation and deflation.

5.4.2 Demerits of mixed economy

a) Inefficient operation

Sometimes due to excessive regulation and control of government, the private sector may not be operating efficiently. The public sector may not be very efficient due to lack of initiative and responsibility on the part of bureaucrats. The experience of the Indian economy shows that the public sector has a record of poor performance.

b) Conflict between the two sectors

If by any chance, non-cooperation arises between the public and private sectors, the mixed economy may not function properly.

c) Short-lived

In course of time, each of the two sectors may try to dominate the other. If the public sector is given more importance and it is able to take over the private sector, a mixed economy may become a socialist economy. On the other hand, if the private sector proves dominant, the mixed economy may be converted into a capitalist economy.

To sum up, it may be noted that if the government is efficient in a mixed economy, these shortcomings can be rectified.

In modern days, almost all countries adopt mixed economy. Capitalism or socialism in its extreme form is being avoided because of its demerits.

5.4.3 India – a mixed economy

The Indian economy is a complex mixed economic system. Some industries may be completely State-owned, some may be privately owned and some may be jointly owned. Economic factors like prices, inflation, interest rate, etc., are influenced and controlled by both central planning as well as market forces. In India, there is a complex system of liberal rules, strict regulations, control mechanism, planning, and a host of price regulation.

Initially, India had adopted a mixed economy. Now it is gradually moving towards a market economy, after 1991. However, there is a lot of resistance in certain areas of privatization. It still retains the character of a mixed economy with a changed composition.

a) Developments from 1950s to 1970s

Our post-independence leaders were influenced by socialist ideas and advocated government intervention to guide the economy, including State

ownership of key industries. The objective was to achieve a high and balanced economic development in the general interest while particular programmes and measures helped the poor.

The Industrial Policy Resolution of 1948 gave the government a monopoly in armaments, atomic energy, and railroads, and exclusive rights to set up industries for iron and steel, aircraft manufacturing, shipbuilding and telephone and telegraph equipment. The Industrial Policy Resolution of 1956 greatly extended the preserve of the government. There were seventeen industries exclusively in the public sector. The government took over the lead in another twelve industries, but private industries could also engage in production.

The Planning Commission was established in 1950. The Prime Minister is the chairperson of the commission, and an expert of the rank of the minister of State serves as the deputy chairperson. The Five-year plans are an important concept in the mixed economy in India. Although the actual results differ from plan targets in important respects, the plan helps to guide investment priorities, and financial mobilization.

b) In 1970

Monopolies and Restrictive Trade Practices Act was designed to provide the government with additional information on the structure and investments of all firms with assets of more than Rs. 200 million. It aimed at strengthening the licensing system in order to decrease the concentration of private economic power, and to place restraints on certain business practices considered contrary to public interest.

c) In 1980s

The government led by Rajiv Gandhi eased restrictions on market and price control, and reduced corporate taxes. This increased the rate of growth. From 1980 to 1989, the economy grew at an annual rate of 5.5 percent; industry grew at an annual rate of 6.6 per cent and agriculture at 3.6 per cent. Investment rose to about 19 per cent of the GDP in the early 1970s, to nearly 25 per cent in the early 1980s. However, India required a higher rate of investment to attain higher economic growth.

d) Since 1991

The face of the Indian economy has changed drastically. The adoption of economic reforms brought a sea change in various economic policies, like Fiscal Policy, Monetary Policy, Trade Policy, Foreign exchange Policy, Foreign Investment and Technology Policy, etc. New opportunities of employment have been generated in telecom, software, call centers, biotechnology, pharmacy, tourism, education, etc. A vibrant middle class with rising spending power has emerged, and a new generation of industrialists and entrepreneurs has begun to compete globally. With Gross Domestic Product (GDP) in nominal terms of US \$ 692 billion in 2004, India is now the world's tenth largest economy.

Activity :

Find out certain essential commodities whose prices are fixed by the Government of India.

Self Assessment Questions

9. A mixed economy combines the elements of both the _____ and the _____ economies.
10. Instead of competing, the private sector _____ the public sector in a mixed economy.
11. In a mixed economy the _____ sector regulates the _____ sector.
12. The _____ is the chairman of the Planning Commission in India.

5.5 Summary

- An economic system refers to the organizational arrangements and process through which a society makes its production and consumption decisions.
- Capitalist economy, socialist economy, and mixed economies are the types of economic systems.
- A capitalist economy is one in which productive resources are owned by private individuals, who use these resources to earn profits and government intervention is minimum.
- A socialist economy is defined as an economy in which productive resources are owned by the society and operated by the public

authority according to a general economic plan for the benefit of the entire society.

- A mixed economy is a combination of all good points of both capitalism and socialism.
- India as a mixed economy followed an economic model which was more towards socialism following independence.
- However, after adoption of economic reforms in 1991, India is giving more emphasis to a capitalist economy.

5.6 Glossary

- **Free enterprise economy** – The economy where the government interference is the minimum.
- **Price mechanism** – The process through which the prices of goods and services are determined.
- **Consumer's sovereignty** – The consumer is the king.
- **Adaptability** – Adapting itself to the changed situation.
- **Instability** – When prices of goods and services fluctuate too frequently, resulting in either inflation or deflation.
- **Equitable distribution of income** – When there is parity in income in different segments of people.
- **Allocation of resources** – Distribution of productive resources.

5.7 Terminal Questions

1. Give the features of the Capitalist economy.
2. Describe a Socialist economy.
3. Discuss the importance of a mixed economy.
4. Differentiate between capitalist and socialist economies.
5. What are the features of the Indian economy as a mixed economy?

5.8 Answers

Self Assessment Questions

1. Sovereign
2. Price mechanism
3. Profit
4. Minimum/least
5. Communism

6. Planning authority
7. Inequality
8. Planning
9. Capitalist, socialist
10. Supplements
11. Public, private
12. Prime Minister

Terminal Questions

1. In the capitalist economic system, the means of production and distribution are privately owned and production is guided largely through the operation of markets. Refer to sec no.5.1.
2. The important essentials of socialism are that all great industries of the land should be publicly or collectively owned, and they should be conducted (in conformity with a national economic plan) for the common good instead of private profit. Refer sec no. 5.2.
3. A mixed economy is an economy which combines the elements of both the capitalist and socialist economies. It attempts to combine the best features of both capitalism and socialism while excluding the demerits of both. Refer sec.no. 5.3.
4. Refer Sec. No. 5.3.3. - Table.no.1.
5. The Indian economy is a complex mixed economic system. Some industries may be completely State-owned, some may be privately owned and some may be jointly owned. Economic factors like prices, inflation, interest rate, etc., are influenced and controlled by both central planning as well as market forces. Refer sec no. 5.4.3

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